Strategic Finance Management (QF2025302)
PGDM-QF-Trimester-3

Project Report On
Deciphering Value: DCF Methodology and Industry Evaluation in Action

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Index

Contents

Qualitative Analysis

Industry Overview

The Indian tyre industry is a vital component of the automotive value chain, supporting vehicle production, freight movement, and personal mobility. In 2025, the market was valued at approximately **USD 14.45 billion**. It produces over 200 million tyres annually, with two-wheelers commanding the largest volume share, followed by passenger cars and commercial vehicles. The replacement segment accounts for 55-60% of total volume and offers superior margins compared to OEM supplies.

PESTEL Analysis

- **Political:** Government initiatives like *Make in India*, PLI schemes, and infrastructure spending support growth, while import duties and GST policies boost domestic demand and exports.
- **Economic:** Rising GDP, higher incomes, and lower interest rates increase vehicle demand, though raw material price volatility remains a key risk.
- **Social:** Urbanization, growing middle class, and improved rural connectivity drive tyre demand, with increasing focus on safety and premium products.
- **Technological:** Advancements such as radial tyres, EV-compatible designs, and smart technologies enhance efficiency and innovation.
- **Environmental:** Emission norms and sustainability focus encourage use of eco-friendly materials and energy-efficient production.
- **Legal:** Compliance with BIS standards, safety regulations, and environmental laws is mandatory for manufacturers.

Porter's Five Forces suggest moderate-to-high industry attractiveness, supported by high entry barriers, moderate supplier power, and intense competition among leading players.

Competitive Strategy Analysis

JK Tyre & Industries Ltd. is one of India's premier tyre manufacturers and holds market leadership in the truck and bus radial (TBR) and heavy commercial vehicle tyre segments. It competes with domestic players such as MRF, Apollo Tyres, CEAT, and Balkrishna Industries, as well as multinationals like Bridgestone and Michelin.

Key competitive strategies include:

- **Product Premiumization and Innovation**: Emphasis on higher-margin radial tyres, low-rolling-resistance designs, sustainable products, and EV-compatible tyres. The company invests in R&D and operates a Digital and Analytics Centre of Excellence.
- **Distribution and Market Penetration**: A robust network of nearly 900 exclusive Brand Shops and over 6,000 channel partners, with targeted rural expansion via "JK Tyre Steel Wheels" outlets.
- **Operational Excellence**: Focus on capacity utilization, cost optimization, and modular expansions has driven strong volume growth and EBITDA margin improvement (around 13-13.8% in recent quarters).
- **Export Diversification**: Operations in Mexico (JK Tornel) provide USMCA advantages, with shipments extending to Europe, LATAM, and the Middle East.

JK Tyre differentiates itself through superior quality, a wide product portfolio (over 800 SKUs), and proven expertise in asset turnarounds.

Shareholder Pattern

Category	Mar 2021 / FY21	Mar 2022 / FY22	Mar 2023 / FY23	Mar 2024 / FY24	Mar 2025 / FY25	Trend (5 Years)
Promoters	53.1%	53.1%	56.26%	53.13%	50.55%	Stable → Slight decline then minor recovery
Foreign Institutional Investors (FIIs)	12.3%	14.2%	15.29%	16.03%	15.94%	Steady increase (Strong foreign interest)

Domestic Institutional Investors (DIIs)	5.9%	5.1%	5.79%	6.33%	6.14%	Gradual rise (Mutual Funds leading)
- Of which Mutual Funds	4.5%	3.7%	4.70%	4.27%	5.51%	Consistent upward trend
Retail & Public (Non-Institutional)	28–30%	27–28%	28.87%	27.05%	27.35%	Declining (shift to institutions)
Others	1–2%	1–2%	1%	1%	1%	Negligible

Corporate Strategy Analysis

JK Tyre pursues a growth-oriented corporate strategy focused on organic expansion, strategic acquisitions, and operational consolidation to achieve scale, synergies, and sustainable value creation.

Major initiatives include:

- **Capacity Expansion**: Plans to add 1 million units in FY26 through brownfield and modular investments, targeting a total capacity of around 30.5 million units, with emphasis on TBR, PCR, and light radial lines.
- **Mergers and Acquisitions**: Successful integration of Cavendish Industries Ltd. (completed in late 2025), marking the third major turnaround after Vikrant Tyres and JK Tornel (Mexico). This has enhanced capacity utilization, diversified the product mix, and unlocked distribution and operational synergies.
- **Diversification and Premiumization**: Broadening the portfolio across commercial vehicles, passenger cars, two/three-wheelers, and sustainable/EV products, in line with the vision of becoming a "Green and trusted mobility partner."
- **Sustainability and Digital Focus**: Adoption of sustainability-linked financing, progress toward RE100 renewable energy commitment, and digital transformation initiatives for greater efficiency.

Management Analysis

Under the leadership of Dr. Raghupati Singhania (Chairman & MD, 60 years' experience) and Mr. Anshuman Singhania (MD), JK Tyre delivered strong execution with focus on operational discipline and innovation.

Over FY21–FY26, revenue grew at a CAGR of 10 - 12% from ₹9,100 crore to over ₹15,000 crore. Q3 FY26 recorded highest quarterly revenue of ₹4,235 crore (inc.15% YoY). Earnings grew at 18.5% annually, supported by margin expansion and premium product mix.

Key achievements: significant debt reduction, higher capacity utilization post-acquisitions, EBITDA margins of 13 - 13.8%, and disciplined modular capex. Recent appointments strengthened commercial, supply chain, and technology functions.

The experienced team effectively managed volatility and integration challenges through prudent capital allocation. JK Tyre is well-positioned for sustained growth, backed by strong fundamentals, rising institutional ownership, premiumization, sustainability focus, and proven management execution.

Quantitative Analysis

Du Pont Analysis

Du Pont ROE Analysis of JK Tyres & Industries Ltd.					
Ratios/Financial Year	**2025**	**2024**	**2023**	**2022**	**2021**
Tax Burden PAT/PBT	72.81%	66.98%	68.05%	69.25%	64.83%
Total Assets Turnover (Revenue (sales)/Total Assets)	101.99%	108.34%	120.13%	98.62%	84.54%
Financial Leverage (TA/Shareholders equity)	237.98%	245.19%	277.10%	322.43%	302.55%
Interest burden (PBT/PBIT)	66.48%	78.50%	51.19%	53.54%	59.77%
Operating Margin (PBIT/Revenue (SALES))	7.82%	10.89%	5.49%	6.15%	10.79%
Du Pont ROE	9.19%	15.22%	6.36%	7.25%	10.69%

Du Pont Analysis Interpretation – JK Tyre & Industries Ltd.

Tax Burden (PAT/PBT):

The tax burden shows a stable and improving trend, reaching 72.81% in 2025. This indicates that a higher proportion of profit is retained after tax, reflecting efficient tax management. Overall, tax impact remains controlled and supports net profitability.

Total Asset Turnover (Sales/Total Assets):

The ratio has declined from earlier highs, indicating reduced efficiency in utilizing assets to generate revenue. This suggests that either asset base has increased or sales growth has slowed. It highlights the need for better asset utilization.

Financial Leverage (Total Assets/Equity):

Financial leverage has decreased over the years, showing reduced reliance on debt financing. This improves financial stability and lowers risk. However, lower leverage also limits the positive impact of debt on enhancing ROE.

Interest Burden (PBT/PBIT):

The interest burden has shown fluctuations but improved in 2025, indicating better control over finance costs. A higher ratio means a larger portion of operating profit is retained after interest expenses. This reflects improved interest coverage and reduced pressure from borrowings.

Operating Margin (PBIT/Sales):

Operating margin has declined compared to earlier years, indicating rising costs or pricing pressure. This shows weakening core operational efficiency. It is one of the major factors affecting overall profitability.

Du Pont ROE:

ROE has been volatile, with a decline in 2025 after a strong recovery in 2024. The fall is mainly due to lower operating margins and reduced asset turnover. Overall, returns to shareholders are inconsistent and need improvement.

DCF Model

The valuation of JK Tyre & Industries Limited has been carried out using the Discounted Cash Flow (DCF) approach, which is considered one of the most fundamental and robust methods for intrinsic value estimation. The model projects the company's Free Cash Flows to the Firm (FCFF) for the explicit forecast period and discounts them to present value using the Weighted Average Cost of Capital (WACC).

Key Assumptions:

All major drivers are defined in the Assumptions sheet, including revenue growth rates, EBITDA margins, depreciation, capex intensity, working capital requirements, WACC components, and terminal growth rate. These assumptions are based on historical trends, industry outlook, company guidance, and macroeconomic factors.

KEY MODEL ASSUMPTIONS – JK TYRE & INDUSTRIES					
REVENUE GROWTH ASSUMPTIONS (FY2026E–FY2030E)					
Parameter	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**
Revenue Growth Rate (%)	8.0%	9.0%	10.0%	9.0%	8.0%
PROFITABILITY MARGIN ASSUMPTIONS					
Parameter	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**
EBITDA Margin (%)	12.8%	13.0%	13.3%	13.5%	13.5%
Depreciation (% of Revenue)	3.0%	2.9%	2.8%	2.8%	2.7%
Interest Expense (₹ Cr)	460	450	435	415	395
Effective Tax Rate (%)	28.0%	28.0%	28.0%	28.0%	28.0%
CAPEX & WORKING CAPITAL ASSUMPTIONS					
Parameter	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**
Capex (% of Revenue)	5.5%	5.5%	5.0%	4.8%	4.5%
Change in NWC (% of Rev Δ)	10.0%	10.0%	10.0%	10.0%	10.0%

WACC Assumptions:

B. WACC COMPONENTS	
Risk-Free Rate	6.85%
Equity Risk Premium	6.00%
Beta	1.64x
Cost of Equity (Ke)	16.69%
Pre-Tax Cost of Debt	8.90%
After-Tax Cost of Debt	6.41%
Weight of Equity	40.0%
Weight of Debt	60.0%
WACC	**10.52%**
Terminal Growth Rate (g)	4.50%

Historical Analysis

The past five years' financial performance (FY2021 to FY2025) has been analyzed from the Income Statement and Balance Sheet to understand revenue trends, margin profile, capital structure, and working capital cycle.

HISTORICAL INCOME STATEMENT – JK TYRE & INDUSTRIES					
Line Item (₹ Crores)	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	**6,135**	**8,032**	**9,618**	**10,313**	**10,176**
Total Expenses	**5,284**	**7,331**	**8,843**	**8,939**	**9,169**
EBITDA	**851**	**701**	**775**	**1,374**	**1,007**
Depreciation	246	241	243	252	269
	4.01%	3.00%	2.53%	2.44%	2.64%
EBIT	**605**	**460**	**532**	**1,122**	**738**
	13.9%	**8.7%**	**8.1%**	**13.3%**	**9.9%**
Interest Expense	266	230	258	242	267
Other Income	57	34	(5)	2	57
Profit Before Tax	**396**	**264**	**269**	**882**	**528**
Income Tax	138.60	81.84	86.40	291.06	142.56
Net Profit (PAT)	**257**	**182**	**183**	**591**	**385**
KEY MARGINS					
EBITDA Margin	13.9%	8.7%	8.1%	13.3%	9.9%
EBIT Margin	9.9%	5.7%	5.5%	10.9%	7.3%
Net Profit Margin	4.2%	2.3%	1.9%	5.7%	3.8%
YEAR-ON-YEAR GROWTH					
Revenue Growth	-	30.9%	19.7%	7.2%	-1.3%
EBITDA Growth	-	-17.6%	10.6%	77.3%	-26.7%
PAT Growth	-	-29.2%	0.2%	223.6%	-34.8%

Financial Projections Revenue is grown at assumed rates. EBITDA is calculated using margin assumptions. EBIT is derived after depreciation. Net Profit is computed post interest and tax.

FORECAST INCOME STATEMENT – JK TYRE & INDUSTRIES (FY2026E–FY2030E)					
Line Item (₹ Crores)	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue (₹ Cr)	10,990	11,979	13,177	14,363	15,512
‣ Revenue Growth %	8.0%	9.0%	10.0%	9.0%	8.0%
EBITDA (₹ Cr)	1,407	1,557	1,753	1,939	2,094
‣ EBITDA Margin %	12.8%	13.0%	13.3%	13.5%	13.5%
Depreciation (₹ Cr)	330	347	369	402	419
EBIT (₹ Cr)	1,077	1,210	1,384	1,537	1,675
Interest Expense (₹ Cr)	460	450	435	415	395
Other Income (₹ Cr)	**30**	**30**	**30**	**30**	**30**
Profit Before Tax (₹ Cr)	647	790	979	1,152	1,310
Income Tax (₹ Cr)	181	221	274	323	367
Net Profit/PAT (₹ Cr)	466	569	705	829	943
‣ PAT Margin %	4.2%	4.7%	5.3%	5.8%	6.1%

FCFF Calculation FCFF = NOPAT + Depreciation – Capex – Δ Net Working Capital (NOPAT = EBIT × (1 – 28% tax rate)

FREE CASH FLOW BUILD – JK TYRE & INDUSTRIES (FCF to Firm)					
FCF Components (₹ Crores)	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
EBIT (₹ Cr)	1,077	1,210	1,384	1,537	1,675
Tax on EBIT (NOPAT basis)	(302)	(339)	(387)	(430)	(469)
NOPAT	775	871	996	1,107	1,206
Add: Depreciation	330	347	369	402	419
Less: Capex	(604)	(659)	(659)	(689)	(698)
Less: Δ Net Working Capital	(81)	(99)	(120)	(119)	(115)
FREE CASH FLOW TO FIRM (FCFF)	**419**	**461**	**587**	**701**	**812**
Discount Factor	0.9048	0.8187	0.7407	0.6702	0.6064
PV of FCFF	379	377	434	470	492

DCF Valuation

The explicit period FCFF is discounted using WACC of 9.22%. Terminal Value is calculated at the end of FY2030E using the Gordon Growth Model and discounted back to present value.

DCF VALUATION – JK TYRE & INDUSTRIES | INTRINSIC VALUE ANALYSIS	
A. DCF SUMMARY	
Sum of PV of FCFF (FY2026E–FY2030E)	2,153
Terminal Value (Gordon Growth Model)	14,095
PV of Terminal Value	8,548
Enterprise Value (EV)	**10,701**
Less: Net Debt (FY2025A)	**(2,097)**
Add: Cash & Equivalents (FY2025A)	547
Equity Value	**9,151**
Diluted Shares Outstanding (Cr)	**28.83**
INTRINSIC VALUE PER SHARE (₹)	**₹317.41**
Current Market Price (₹) [as of Apr 2026]	**₹441.00**
Upside / (Downside) %	-28.0%
Implied EV/EBITDA (FY2026E)	8

The DCF valuation of JK Tyre & Industries Ltd. indicates that the intrinsic value per share (₹317.41) is lower than the current market price (₹441), suggesting the stock is overvalued by around 28%. A significant portion of the valuation is driven by terminal value, showing heavy reliance on future growth assumptions, while near-term cash flows remain moderate. Although the company maintains a stable capital structure and reasonable valuation multiple, the analysis highlights limited upside potential and possible downside risk, indicating a cautious investment outlook.

Excel Link:

JK_Tyre_DCF_Model.xlsx

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